Despite growth concerns, no major policy change in China

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China’s politburo meeting highlights concerns over slowing growth but will not lead to major policy change in the short run. With Chinese AI companies||||||||||||||

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summary

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China’s politburo meeting highlights concerns over slowing growth but will not lead to major policy change in the short run.
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With Chinese AI companies closing the capability gap with US AI labs at a fraction of the cost, Washington will push toward more selective restrictions.
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In the US, four different regulatory options emerge as states begin to restrict data centers.
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El Nino and disruptions to Hormuz and the Black Sea traffic compound food commodity risk.
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Regions, countries, and sectors covered in this edition include the US, China, Egypt, Lebanon, Spain, healthcare, and sustainability.

the top line

China—Politburo meeting shows concern about slow growth

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The Chinese Communist Party demonstrated increased focus on the slowing economy, foreign concerns about China’s trade surplus, and the importance of stable financial markets. As leaders see the risk of falling behind yearly growth targets, the policy response will be incremental, and focus on vaguely improving and speeding up current measures.
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Despite sensitivity to external complaints about trade surpluses, officials focused on domestic issues like the property sector, local government debt, and small financial institutions as structural risks to manage in the long term. Expect measures to improve national market unity to reduce local protectionism and improve corporate profitability.

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The key test is whether tighter discipline and competition policy can lift confidence, particularly that of stock market investors, in the absence of more support for near-term growth.

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While the readout again cites “effectively expanding domestic demand,” a supply-side focus on investment continues to come first.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

US, China, Geo-technology—China’s AI surge will push Washington toward selective restrictions

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Chinese AI companies are closing the capability gap with US AI labs at a fraction of the cost, including with smaller and cheaper models, making them highly competitive in the global market.

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In response, Washington is considering additional restrictions to slow Chinese AI development, likely shifting focus from chips to model and algorithm controls and targeting technology through distillation of US models.

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President Donald Trump’s administration will opt for targeted measures, such as subscription restrictions, over blanket bans on Chinese open-source models, seeking to balance conflicting domestic interests without straining relations with Beijing.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

US, Geo-technology—Four regulatory camps emerge as states move toward restricting data centers

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As public opposition to data centers grows, state and local governments are likely to advance tighter regulations, though the level of restrictiveness will vary significantly by jurisdiction.

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State and local governments are beginning to diverge into four categories based on their regulatory approaches to data center construction: enthusiastic adopters, tolerant adopters, hesitant adopters, and adoption opponents.

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How restrictive regulations become will hinge on four variables: public opinion, electoral pressures, the posture of key leaders, and local political conditions.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Chart of the day— El Niño, Hormuz, and Black Sea disruptions compound food commodity risk

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Bottom line: a very strong El Niño will strike crops that the Hormuz and Black Sea disruptions largely spared. Benchmark commodity prices could run 10%–18% above pre-Iran war levels by mid-2027, lifting retail food inflation 1%–2.5% in advanced economies and 3%–6% in vulnerable importers.

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Fertiliser- and energy-hungry soybean oil, wheat, corn and rapeseed are most exposed to Hormuz disruption; cocoa and robusta coffee to El Niño. Palm oil and rice sit in the path of both — and, concentrated in a handful of Asian suppliers, exposing importers to export-control risks.

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El Niño could cost $1 trillion dollar to the global economy, and policy can affect the size of the bill. In the last strong El Niño, India's rice export curbs added more to prices than the weather did, and Indonesia holds a similar lever over palm oil. The most exposed countries to the effect of El Niño are the Philippines, Indonesia, Ethiopia, Mozambique, Pakistan, Sri Lanka, and Andean countries.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Spain—Mass border breach will likely give far-right a one-off boost

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Tens of thousands of undocumented migrants, mostly minors, breached the Spain-Morocco border in the Spanish North African enclave of Ceuta yesterday, after overwhelming border security and physical barriers.

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While it will likely give the far-right Vox party a boost in opinion polls, with elections at least six months away, it is unlikely to have a major bearing on the outcome, assuming it remains an isolated incident.

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Still, this reinforces expectations that elections next year will produce a conservative government led by the centre-right Popular Party (PP) with Vox as junior partner.

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If pressure on the border does not ease as a result, leading to recurring breaches that keep the issue in the headlines into 2027, this could prove more consequential.

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Spain may ease off on the push to restore ties with Algeria,but this is unlikely to jeopardize Algeria's role as a major and growing gas supplier. Spain will also step up border enforcement going forward, possibly permanently.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

upcoming conference calls

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3 August 9:00 PM ET—Iran war escalation and energy implications. Register here .

eg in depth

MENA Crisis, Egypt—Cairo will stay out of US-Iran war despite suffering drone attack: The Egyptian cabinet confirmed that a drone attack caused explosions in two US-owned gas vessels at Egypt's Damietta liquefaction facility by the Mediterranean, putting them out of service. The targeting of US, not Egyptian, assets and the failure of any party to claim responsibility will alleviate the pressure on Egypt to respond. Cairo will continue engaging in mediation efforts, rather than intervene directly. The war’s economic effects drive that position. Higher energy and food prices, indirect effects of a Gulf slowdown, and capital outflows, are straining Egypt’s fragile economy and disrupting its recovery from the 2022-2024 economic crisis (see note , 5 March). Read more here . Reach out to discuss: mena@eurasiagroup.net .

Healthcare—Climate risks are outpacing healthcare adaptation efforts: Climate change is increasing operational, legal, and financial risks, such as infrastructure disruption, heavier disease burdens, and greater exposure to negligence claims, beyond what healthcare providers and manufacturers can currently absorb. At the same time, rising temperatures and changing disease patterns are creating and expanding market opportunities in emergency and chronic care, heat adaptation services, and vaccines. Public-private partnerships and capital flows, including sustainability-linked financing, are expanding the tools available to the healthcare value chain as adaptation efforts accelerate, particularly in the UK and the EU. Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

Lebanon—Banking reform advances, but IMF deal still distant: Lebanon’s Finance and Budget Committee amended and approved key articles of the draft Banking Restructuring Law, including provisions on the Higher Banking Authority and bank recapitalization. The IMF will likely demand further revisions ahead of a likely parliamentary plenary vote in late August or September, when the full law is likely to pass (60%). Passing both the Banking Restructuring Law and the Gap Law to unlock an IMF program remains out of reach in 2026. The Gap Law is even more politically challenging since it allocates losses from bank resolutions among depositors, investors, banks, and the government of Lebanon. With reconstruction demands dominating the agenda and parliamentary elections set for spring 2027, delaying submission beyond early 2027 would further reduce the chances of passage. Read more here . Reach out to discuss: mena@eurasiagroup.net .

Upcoming events:

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31 July: Data: US UMich consumer sentiment; Central bank decision: Colombia.

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2 August: Events: OPEC+ ministers meeting.

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3 August: Data: China RatingDog, Eurozone, UK, and US S&P; and India HSBC manufacturing PMI, US ISM manufacturing, and Vietnam trade.

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4 August: Events: SpaceX earnings, and Kansas, Michigan, Missouri, and Washington primaries; Data: South Korea CPI and US JOLTS job openings.

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5 August: Data: Eurozone PPI, US ADP employment change; Central bank decisions: Brazil and India.

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6 August: Events: Tennessee primary elections; Central bank decisions: Czechia and Mexico.

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7 August: Data: China trade and foreign reserves, Germany industrial production, and US unemployment and nonfarm payrolls.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, and Trista Kelley, with help from Astral Betteridge.

closing quip

Fully leverage the effectiveness of existing policies and roll out practical and effective incremental measures in a timely manner."—Official directive issues by the politburo of the CCP on 30 July.

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